E-COMMERCE

IBEF
INDIA BRAND EQUITY FOUNDATION
www.ibef.org

May 2026

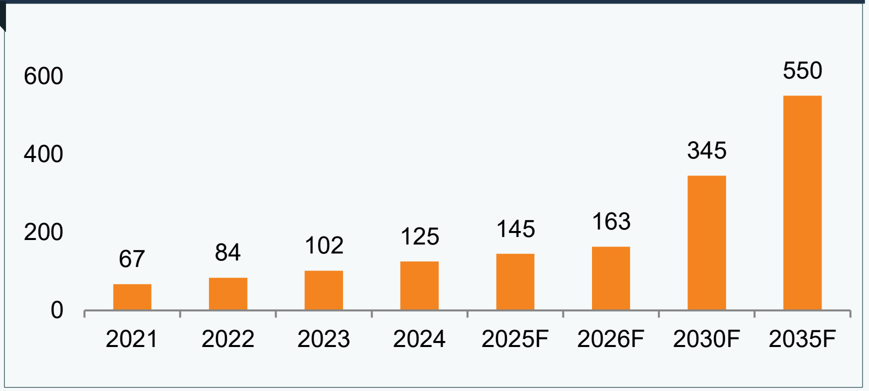
For updated information, please visit www.ibef.org

Table of Contents

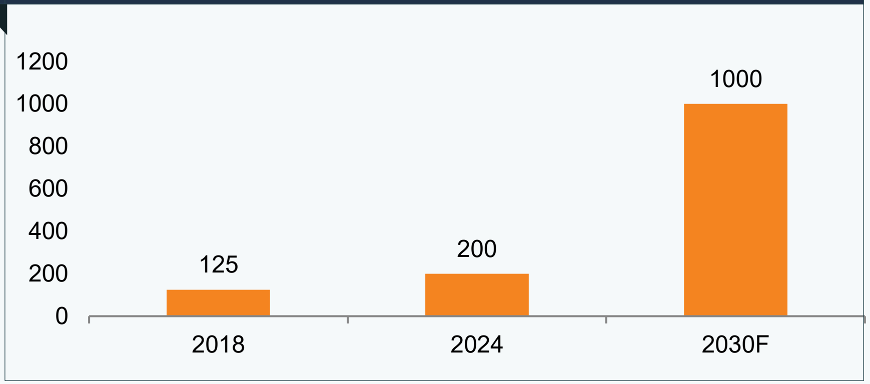
Executive summary…

- India's e-commerce industry, valued at Rs. 10,82,875 crore (US$ 125 billion) in 2024, is projected to grow to Rs. 29,88,735 crore (US$ 345 billion) by 2030, reflecting a compound annual growth rate (CAGR) of 18.4%.
- According to a joint report by real estate consulting firm ANAROCK and retail news platform ET Retail, the sector is further expected to reach Rs. 47,64,650 crore (US$ 550 billion) by 2035, driven by increasing digital adoption and evolving consumer behaviour.
- India's e-commerce industry is entering a high-growth phase, driven by rising disposable incomes, rapid digital adoption, strong tier II & III city demand, and a surge in quick commerce growing at 70-80% CAGR, with the D2C market set to cross Rs. 8,70,500 crore (US$ 100 billion) in 2025 and overall annual growth projected at 17-22% in 2025.
- The Government e-Marketplace (GeM) has achieved a cumulative Gross Merchandise Value (GMV) of Rs. 18.4 lakh crore (US$ 208.2 billion), including crossing Rs. 5 lakh crore (US$ 56.6 billion) GMV in FY2025-26. The platform continues to evolve as a transparent, efficient, and inclusive digital public procurement system, contributing to strengthening India's public economy.
- India's e-commerce market is fuelled by 500 million shoppers and increased internet access, especially in rural areas. By FY26, over 1.18 billion people are expected to have smartphones, enhancing digital transactions. Rural areas will drive over 60% of demand, particularly from tier 2-4 towns.
- The total internet subscribers in the country reached 1,092.79 million (1.09 billion) at the end of March 2026. This marks a significant 6.24% jump from the 1,028.61 million subscribers recorded in December 2025, underscoring rapidly expanding connectivity across both urban and rural regions.
- India's digital payments landscape has witnessed a phenomenal growth over the past five years. As per the report, India's digital payments market is at an inflection point and is expected to increase more than threefold from the current US$ 3 trillion to US$ 10 trillion by 2026. As a result of this unprecedented growth, digital payments will constitute 2 out of 3 payment transactions by 2026.

Indian E-commerce Market (US$ billion)



India's Internet Economy (US$ billion)



Note: *F-Forecast*

Source: *Media sources, News Articles, Published Reports*

Advantage India

Advantage India

1. Attractive Opportunities

- The rapidly expanding Direct-to-Consumer (D2C) segment is driving growth, with India's D2C market projected to grow at a 40% CAGR, reaching US$ 60 billion by 2030. E-commerce in India is expected to surpass US$ 145 billion in 2025, powered by mobile commerce and AI-driven hyper-personalization enhancing customer experiences.
- Amazon supported approximately 2.8 million direct, indirect, induced and seasonal jobs across India in 2024, spanning technology, operations, logistics, retail, and creative services. By 2030, the company plans to generate an additional one million direct, indirect, induced and seasonal jobs. These will stem from Amazon's business expansion as well as its growing fulfillment and delivery network, which simultaneously supports parallel industries including packaging, manufacturing, and transportation services.
- The Government e-Marketplace (GeM) has emerged as a key digital public procurement platform in India, achieving a cumulative Gross Merchandise Value (GMV) of Rs. 18.4 lakh crore (US$ 208.2 billion), including over Rs. 5 lakh crore (US$ 56.6 billion) in FY 2025-26.

2. Growing demand

- India's Business-to-Business (B2B) online marketplace would be a US$ 200 billion opportunity by 2030. India's e-commerce market achieved a 25% year-on-year growth in the first quarter of 2026, driven by macroeconomic improvements, supportive policies, and recovering consumer confidence.
- India's online retail market reached approximately US$ 80 billion in FY26, registering 21% year-on-year growth, driven by rapid expansion of Quick Commerce, Value Commerce, and increasing digital adoption across Tier II and Tier III cities.
- Private consumption growth increased from 8% (2022-24) to 10.5% (2025). Growth was supported by government-led policy interventions, including a reduction in the Goods and Services Tax (GST) for select categories, personal income tax relief, easing inflation, and lower lending rates.
- India's quick commerce segment has emerged as a US$ 7-8 billion market in FY25, expanding at a CAGR of 110-130% over 2021-25. The segment is projected to reach US$ 65-70 billion by 2030, contributing nearly half of incremental e-retail growth, reflecting a structural shift toward high-frequency, convenience-led consumption.

4. Policy Support

- In India, 100% FDI is permitted in the B2B E-commerce.
- As per the new guidelines on FDI in E-commerce, 100% FDI under automatic route is permitted in the marketplace model of E-commerce.
- The India-UK Free Trade Agreement simplifies e-commerce exports by exempting low-value consignments below Rs. 1,17,143 (US$ 1,354) from origin documentation, benefiting Indian MSMEs and online sellers while strengthening compliance and trade flows.
- Heavy investment made by the Government of India in rolling out fiber network for 5G will help boost E-commerce in India.
- Government initiatives like the National Logistics Policy aim to smoothen deliveries to hinterlands, making logistics efficient and cost-effective. Government initiatives like Jan Dhan Yojana, BharatNet Project, and the introduction of Goods & Service Tax (GST) have played a crucial role in shaping India's digital economy. Through its 'Digital India' campaign, the Government of India is aiming to create a trillion-dollar online economy by 2025.
- The Union Budget 2025-26 supports MSMEs with higher investment limits, better credit guarantees, and customised credit cards, alongside a Rs.10,000 crore (US$ 1.17 billion) fund for startups.

3. Increasing Investment

- In April 2026, Amazon India announced plans to expand Amazon Now to 100 cities, backed by its US$ 300 million (Rs. 2,800 crore) investment to strengthen quick-commerce infrastructure, including micro-fulfilment centres and last-mile delivery capabilities.
- In April 2026, Ekart expanded its partnership with IKEA India to provide EV-powered last-mile delivery services in Chennai, strengthening sustainable logistics and omnichannel fulfilment capabilities.

Note: *FDI - Foreign Direct Investment, GMV- Gross merchandise value*

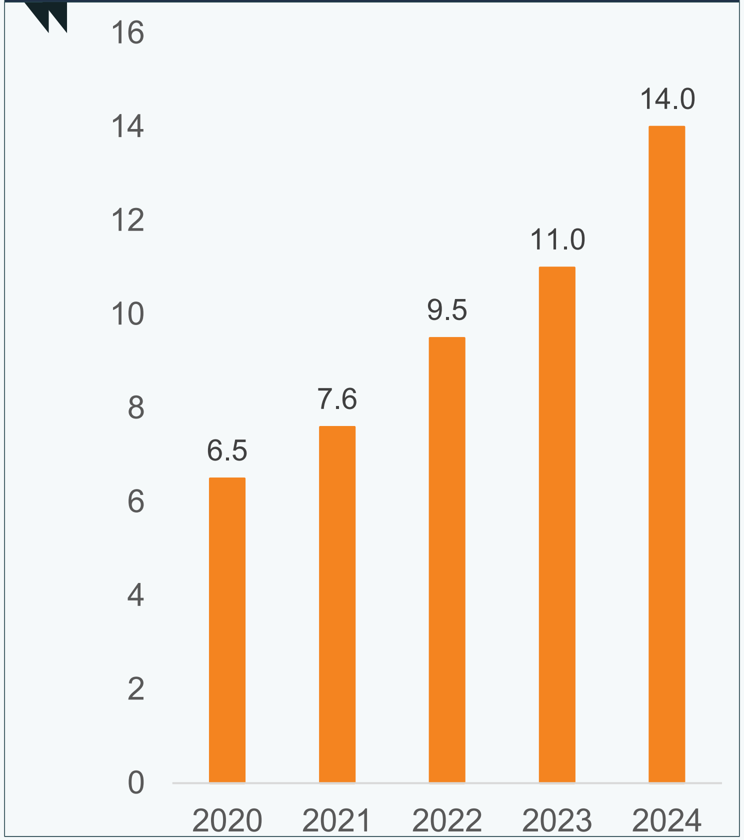
Source: *Media sources*

Market Overview

Growth of e-commerce in India… (1/2)

- According to a recent report by EY India, generative artificial intelligence (GenAI) could enhance productivity in India's retail industry by 35-37% by 2030. The report, titled 'The AIdea of India: 2025', reveals that 48% of Indian businesses have already initiated proof of concept (PoCs) for GenAI solutions, while another 32% are planning to invest or have allocated budgets for AI adoption.
- In April 2026, India's Unified Payments Interface (UPI) processed 22.35 billion transactions with a total value of Rs. 29.03 lakh crore, reflecting its deep integration into everyday commerce. A total of 713 banks were live on the UPI platform, underscoring its broad institutional adoption.
- The International Monetary Fund, in its June 2025 report on growing retail digital payments, recognised UPI as the world's largest retail fast payment system by transaction volume. The 2024 ACI Worldwide report titled Prime Time for Real Time noted that UPI accounts for around 49% of global real time payment transaction volume. Within India, 81% by volume of total retail payment transactions are processed on UPI rails, making it the preferred mode for person to person as well as person to merchant payments.
- India had nearly 290-300 million online shoppers in 2025, with Tier-2+ cities contributing around 65% of incremental shoppers. Shopper penetration remains only 25-30% of internet users in smaller cities, leaving significant room for future growth.
- India's quick commerce has emerged as a US$ 7-8 billion market in FY25, expanding at a CAGR of 110-130% over 2021-25. Growth has been driven primarily by grocery and essential categories, with increasing order frequency and rising basket sizes.
- Tier-2 and tier-3 cities drove significant e-commerce growth in India during the 2025 summer sales, with tier-3 cities posting 21% YoY growth and contributing 38% of order volumes, highlighting the rising adoption of online shopping beyond metros.
- Over 60% of e-commerce demand will come from tier 2-4 towns by 2026, driven by a 22% CAGR in online shoppers and rising smartphone and internet penetration.
- The Government e-Marketplace (GeM) has emerged as a key digital public procurement platform in India, achieving a cumulative Gross Merchandise Value (GMV) of Rs. 18.4 lakh crore (US$ 208.2 billion), including over Rs. 5 lakh crore (US$ 56.6 billion) in FY 2025-26. The platform continues to strengthen transparency, efficiency and inclusivity in public procurement through technology-driven processes.
- During FY 2025-26, Micro and Small Enterprises (MSEs) executed 68% of total orders and accounted for 47.1% of the platform's GMV. More than 11 lakh registered MSEs secured over 51 lakh orders worth Rs. 2.36 lakh crore (US$ 26.7 billion), registering growth of over 20% compared to the previous financial year. Women-led MSEs, SC/ST enterprises and startups also expanded their participation, securing procurement orders worth over Rs. 28,000 crore (US$ 3.2 billion), Rs. 6,000 crore (US$ 0.7 billion) and Rs. 19,000 crore (US$ 2.1 billion), respectively, during FY 2025-26.

GMV of Indian online festival sales (in US$ billion)



Notes: GMV - Gross Merchandise Value, CAGR - compound annual growth rate
***Source:** Media sources, News Articles*

Growth of e-commerce in India… (2/2)

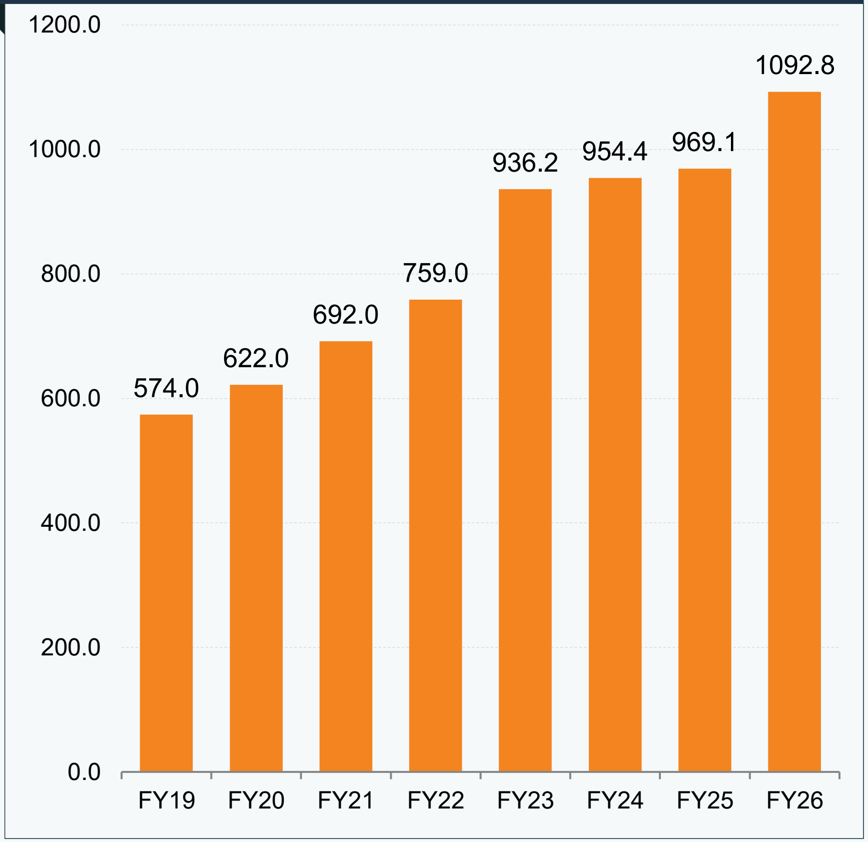
- India’s booming e-commerce market is driven by affordable smartphones and low-cost data plans, leading major retail and consumer goods makers to increase their investments in the online space.
- According to a recent report by RedSeer, India’s e-B2B market is projected to reach a GMV of US$ 100 billion by 2030.
- India has the opportunity to significantly increase its share in the global B2C e-commerce market, which is projected to reach US$ 8 trillion by 2030. With current e-commerce exports at US$ 2 billion, there is substantial room for growth, particularly in high-demand products.
- India is set to become the world's second-largest online consumer market by 2030, with approximately 600 million shoppers and significant growth in e-commerce driven by increased smartphone access, urban adoption, and a projected rise in online retail from 25% to 37% of the total market.
- In FY25, e-commerce drove 31% of total start-up funding, attracting Rs. 26,527 crore (US$ 3.1 billion) across 79 deals, a 128% jump from 2023. Hyperlocal and B2C segments led, with Zepto alone raising Rs. 11,980 crore (US$ 1.4 billion), accounting for 44% of e-commerce PE/VC investments.
- Quick commerce platforms like Blinkit have significantly expanded their user base, with daily order user share doubling from 8% in March 2025 to 17% in November 2025, indicating stronger consumer engagement in fast delivery e-commerce services.
- Tier-III cities powered India's festive e-commerce boom as growth shifted from discount-driven sales to smarter logistics and rising demand from smaller cities. Digital payments led the festive transactions with wide adoption in southern states and urban centers.

Note: *GMV- Gross Merchandise Value, B2B- Business-to-Business*
Source: *Media sources, News Articles*

Rising internet users in India

- The total internet subscribers in the country reached 1,092.79 million (1.09 billion) at the end of March 2026. This marks a significant 6.24% jump from the 1,028.61 million subscribers recorded in December 2025, underscoring rapidly expanding connectivity across both urban and rural regions.
- India's internet economy is expected to register ten-fold growth and touch US$ 1 trillion by 2030, mainly driven by the e-commerce vertical, from Rs. 8,70,500 crore (US$ 100 billion) in 2024.
- Internet connections increased from 25.15 crore in 2014 to 102.86 crore in 2026. Greater internet penetration further expanded broadband access, with broadband connections rising from 6.1 crore in 2014 to 99.56 crore in December 2025.
- India's 5G subscriptions are expected to grow from 430 million in 2025 to over 1.1 billion by 2031, achieving 81% mobile subscription penetration, supported by affordable 5G devices, wider network coverage, and rising FWA adoption. India's average mobile data consumption is projected to increase from 37 GB/month in 2025 to 70 GB/month by 2031, driven by rapid 5G adoption and expanding Fixed Wireless Access (FWA) services.
- The number of active internet users in the country is the second highest globally and is also one of the largest data consumers globally.
- India's 5G subscriptions reached 430 million in 2025 (35% of total mobile subscriptions) and are projected to exceed 1.1 billion by 2031, while 4G subscriptions are expected to decline as users transition to 5G.
- As of 28 February 2026, 5G services have been rolled out across all States and Union Territories, covering 99.9% of India's districts, supported by the deployment of 5.23 lakh 5G Base Transceiver Stations (BTSs). Further, under the Bharat 6G Vision, India aims to become a global leader in the design, development, and deployment of 6G technologies by 2030.
- India's social commerce has the potential to expand to US$ 16-20 billion in 2025, at a CAGR of 55-60%, with a potentially monumental jump to US$ 70 billion by 2030, owing to high mobile usage.

Internet Users in India (in million)

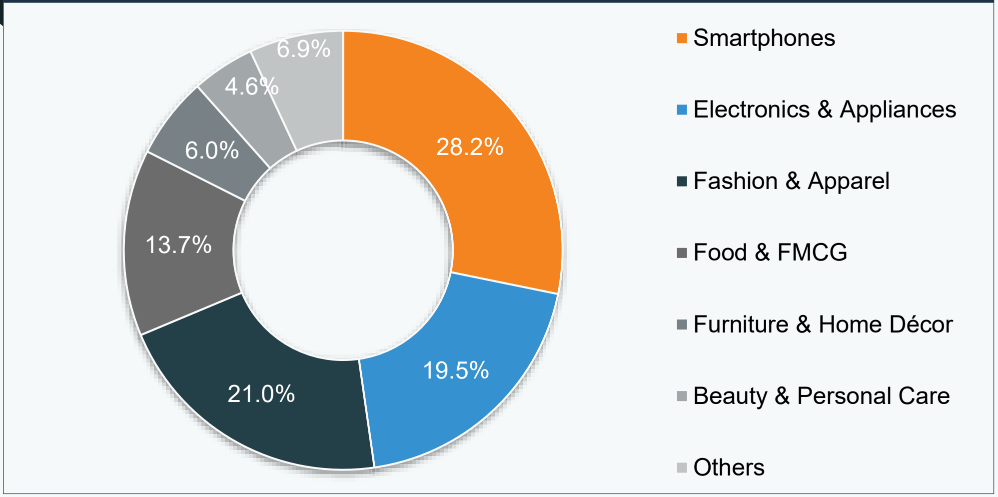


Note: *Internet penetration - number of internet subscribers per 100 population; FY26* data until March 2026*

Source: *TRAI, Department of Telecommunications, Bain & Company - Unlocking Digital for Bharat Report*

Online retail market

Shares of Various Segments in e-commerce Retail (2024)

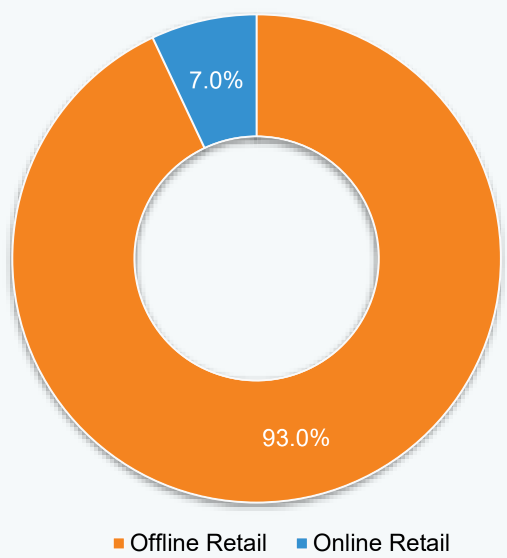


- In 2024, e-commerce ranked fifth in India's private equity and venture capital investments, attracting Rs. 38,865 crore (US$ 4.6 billion).
- In FY25, e-commerce emerged as a key driver of start-up investments, drawing Rs. 26,527 crore (US$ 3.1 billion) across 79 deals, accounting for 31% of total start-up funding. This marked a sharp 128% jump from 2023's Rs. 11,980 crore (US$ 1.4 billion) across 59 deals.
- The online retail market in India is estimated to be 25% of the total organized retail market and is expected to reach 37% by FY30.
- E-retail in India offers significant growth headroom, accounting for 1.6% of GDP in 2025. Within the broader e-commerce ecosystem, the market is expected to expand substantially by 2030.
- Online retail is projected to more than double from US$ 75-85 billion in 2025 to US$ 170-180 billion by 2030. In parallel, e-services including travel, dining, education, insurance, and online subscriptions are estimated to grow from US$ 45-55 billion to US$ 120-130 billion over the same period, indicating strong growth across both product and service segments.
- Ad spending on e-retail platforms had reached Rs. 17,601 crore (US $ 1.93 billion) by the end of 2025, accounting for approximately 24.6% of total digital media outlay.
- India has surpassed the United States to become the world's second-largest e-retail market. India's online shopper base is expected to grow from 290-300 million in 2025 to 440 million by 2030, with rural users accounting for 30% and women 45%, highlighting expanding demographic reach.
- India's e-retail penetration remains modest at 6-7% of total retail spending in 2025, significantly lower than China (31-33%) and the United States (15-17%), indicating substantial headroom for growth.
- HUL, Britannia, AWL Agri-Business, Dabur, Tata Consumer Products, and Marico, posted cumulative quick commerce sales of over Rs. 4,400 crore (US$ 515 million) in FY25.
- According to a May 2025 report by Boston Consulting Group titled From Content to Commerce: Mapping India's Creator Economy, India has around 2.5 million creators influencing over 30% of consumers, driving US$ 350-400 billion in consumer spending. The report further estimates that creator-led commerce could exceed US$ 1 trillion by 2030, unlocking over US$ 100 billion in revenue opportunities.

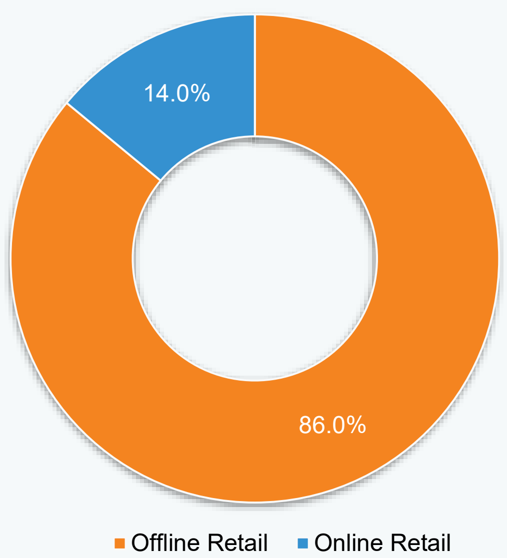
Source: *Report by eMarketer, Kalaari Capital - Imagining Trillion-Dollar India Report*

Online retail vs total retail in India

Online retail out of total retail in India (2024)



Online retail out of total retail in India (2030F)



- There are lot of opportunities for E-retailers in India to capitalize upon with the gradually growing internet penetration in India.
- The share of online retail in India's total retail market is projected to increase from 6-7% in 2025 to approximately 14% by 2030, reflecting continued expansion of digital commerce.
- During 2019 and 2026, the number of online shoppers in India is expected to increase dramatically at a CAGR of 22% to 88 million in rural India and 15% to 263 million in urban India.

Note: *F- Forecasted*

Source: *RedSeer Report, Crisil Report, Report by EY, Indian Private Equity and Venture Capital Association, Deloitte-FICCI report*

E-tailing market by business model

E-commerce

Marketplace Model

- Marketplace model adheres to the standards and directions of a zero-inventory model.
- The E-commerce marketplace offers a digital platform for consumers and merchants without a need for warehousing the products. Marketplaces offer shipment, delivery and payments help to merchants by tying up with various logistics companies and financial institutions.
- The new FDI policy has permitted 100% FDI in the E-commerce marketplace model under the automatic route.
- Flipkart is evaluating its entry into the online food delivery segment, with plans to pilot the service in Bengaluru around May-June 2026. A broader rollout may follow based on pilot performance.
- Amazon scaled its seller fee waiver programme in 2025, starting with products below Rs.300 (1.2 crore listings) in April, which drove 50% YoY growth in new seller registrations. It later extended fee waivers to items under Rs. 1,000 in November (till December 31), with potential continuation based on feedback. The programme now covers over 12.5 crore products, reflecting Amazon's strong focus on seller acquisition and marketplace expansion.

Inventory-led Model

- Inventory-led models are those shopping websites where buyers choose online from within a range products owned by the online shopping company or websites. Then website take care of the whole process end-to-end, starting with product purchase, warehousing and ending with product dispatch.
- Blinkit, Zepto, and Swiggy Instamart follow a common inventory-led dark store model but differ in strategy: Blinkit focuses on speed and density, Zepto on unit economics, and Instamart on platform integration and assortment expansion.
- Blinkit operates an inventory-led dark-store model, with fulfilment centres located within 1-2 km of demand clusters, enabling 10-20-minute deliveries. In 2025, the company operated 1,750 dark stores, surpassing competitors such as Zepto and Swiggy Instamart (1,110 each), according to Economic Times (2025). The scale of this network supports its market leadership. Post its integration with Eternal Ltd., Blinkit reported strong growth, with net order value (NOV) reaching Rs. 9,203 crore in Q1 FY26, reflecting a 127% year-on-year increase (Medianama, 2025).

Source: *PwC Report, News Articles*

Key players in e-tailing market

flipkart.com

Myntra

amazon

NYKAA.COM
Your Beauty. Our Passion.

TATA NEU

meesho

indiamart.com

TATA 1mg

Recent Trends and Strategies

Policy and initiatives give a boost to the industry… (1/3)

1

ANCILLARY SERVICES

- In April 2026, Amazon India expanded its Amazon Hub Delivery programme to over 25,000 local stores, enhancing last-mile delivery infrastructure while creating additional income opportunities for neighbourhood retailers.
- In April 2026, Flipkart, in partnership with Axis Bank and PayU, introduced biometric authentication for card payments, enabling fingerprint and Face ID-based verification to enhance payment security and streamline digital transactions.
- In March 2026, Amazon India expanded zero referral fees to over 12.5 crore products across 1,800+ categories and reduced Easy Ship fees, lowering seller costs and strengthening support for small businesses.
- In February 2026, ONDC partnered with India Post under the India Post Warehousing Model to provide warehousing, packaging and logistics support for MSMEs, artisans and FPOs.

2

AGREEMENT & PARTNERSHIP

- In December 2025, Flipkart acquired a majority stake in Minivet AI to strengthen its Generative AI capabilities, enabling AI-led product discovery, conversational commerce, and video-based catalog experiences, aimed at enhancing customer engagement and personalization on its platform.
- In December 2025, WareIQ partnered with Human Mobile Devices (HMD) to manage end-to-end D2C fulfilment for Nokia devices in India, enabling nationwide warehousing, faster deliveries, and improved last-mile logistics through its distributed fulfilment network.
- On September 4, 2025, Amazon India acquired Axio, securing Rs. 2,200 crore (US$ 255.55 million) in loans and enabling direct credit for consumers and MSMEs.
- In June 2025, Shein and Reliance Retail form a strategic partnership to scale India-made apparel, aiming to expand the supplier base tenfold and begin overseas sales within 12 months.
- In FY25, Flipkart's logistics arm, Ekart, has joined the government-backed ONDC network to extend its delivery services to more e-commerce sellers and buyers, improving efficiency and supporting small sellers nationwide.

3

EXPANSION

- In April 2026, Amazon India announced plans to expand Amazon Now to 100 cities, backed by its US$ 300 million (Rs. 2,800 crore) investment to strengthen quick-commerce infrastructure, including micro-fulfilment centres and last-mile delivery capabilities.
- In April 2026 Ekart expanded its partnership with IKEA India to provide EV-powered last-mile delivery services in Chennai, strengthening sustainable logistics and omnichannel fulfilment capabilities.
- In February 2026, Reliance-backed Zivame announced plans to expand its omnichannel presence by opening 60-80 new stores, targeting Tier 2/3 cities to capture rising demand beyond metros.
- In February 2026, Amazon inaugurated its second-largest corporate campus in Asia in Bengaluru, spanning 1.1 million sq. ft. and accommodating over 7,000 employees, strengthening its technology, e-commerce, and digital operations in India.

Source: *Media sources, Company websites*

Policy and initiatives give a boost to the industry… (2/3)

4

PERSONALIZED EXPERIENCE

- In April 2026, Flipkart, in partnership with Axis Bank and PayU, launched biometric authentication for card payments, allowing fingerprint and Face ID-based verification to improve transaction security and support the next generation of digital payment infrastructure in India.
- In April 2026: Flipkart integrated its SuperCoins loyalty programme with Uber, enabling users to earn rewards on eligible rides and redeem them across the Flipkart ecosystem, including Flipkart Minutes and Cleartrip, enhancing customer engagement and loyalty.
- On June 26, 2024, a Netcore Cloud study found that over 90% of Indians are willing to share personal data for a personalized shopping experience, with the e-commerce market expected to grow from US$ 123 billion in 2024 to US$ 350 billion by 2030.
- Artificial Intelligence (AI) is projected to improve retail profitability by 30-35% through hyper-personalised shopping experiences, inventory optimisation, logistics efficiency, and automated customer engagement.

5

ASSISTED COMMERCE

- In March 2026, Amazon India expanded Saheli Accelerate 2.0 to support 50 women entrepreneurs through advanced e-commerce training, mentorship, branding support, and access to seller tools, strengthening women-led businesses on its marketplace.
- Bengaluru-based startup ShopOS offers an AI-powered platform that automates e-commerce operations, from product listings to marketing, helping brands scale efficiently; it raised Rs. 172 crore (US$ 20 million) in 2025 led by Binny Bansal's 3State Ventures.

6

SUBSCRIPTION FOR E-COMMERCE

- E-commerce companies are increasingly adopting subscription model to provide extra benefits and tailored services to customers to suit their needs.
- India's subscription e-commerce market, valued at Rs. 88,479 crore (US$ 10.34 billion), in 2024, is projected to reach Rs. 3.2 lakh crore (US$ 374.24 billion), by 2033, growing at a CAGR of 45.13% during FY25-33.
- In June 2023, Amazon India launched its new and affordable Amazon Prime Lite membership plan for shoppers in the country.
- Swiggy, Zomato and Myntra keep on offering benefits through their subscription models to attract consumers.

Source: *Media sources, Company websites*

Policy and initiatives give a boost to the industry… (3/3)

7

PRODUCT CATEGORIES

- Brands are adapting to the change in consumption habits towards essentials, electronics, home furnishing and other comfort-related product categories. This shift has happened since the pandemic and is forecast to stay in the near future. Inventory stocking of fashion and accessories has recorded an all-time low this year.

8

DIGITAL MARKETING

- E-commerce has consolidated its position as the second-largest digital advertiser in India, with its share increasing from 21% of total digital ad spends in 2024, amounting to Rs. 10,131 crore, to around 22% in 2025, reaching Rs. 15,836 crore. This growth reflects intensified customer acquisition strategies, rapid expansion of quick commerce platforms, and a continued shift toward performance-led digital marketing.

9

GEOGRAPHIC FOCUS

- Tier 2+ cities are emerging as key growth drivers, contributing 50% of incremental e-commerce orders in 2025, despite relatively low shopper penetration of 25-30% of internet users, compared to 45-50% in metro and Tier 1 cities.
- Tier 2 and Tier 3 cities account for over 60% of total e-commerce shipments and are at the forefront of digital payments adoption, reflecting strong growth in transaction volumes and consumption. The economic significance of these cities is increasing, with GST collections in Tier 2 and 3 markets now growing at a pace comparable to Tier 1 cities.
- Government initiatives continue to support this expansion, with increased budget allocation in FY2026-27 toward infrastructure development in Tier 2 and 3 cities, positioning them as key engines of future economic growth.

10

FUND RAISING

- In January 2026, Indian startups raised US$ 930 million across 122 deals, marking a month-on-month increase from US$ 870 million in December 2025, indicating steady funding momentum despite lower year-on-year activity.
- In December 2025, quick commerce startup Zepto filed for a US$ 1.2 billion (Rs.11,000 crore) IPO under the confidential route, following a valuation of US$ 7 billion, highlighting strong investor interest in India's fast-growing quick commerce segment.
- In December 2025, Swiggy raised ₹10,000 crore (US$ 1.2 billion) through a Qualified Institutions Placement (QIP), with participation from domestic mutual funds, insurance companies, and global investors such as GIC, BlackRock, Temasek, and Fidelity. The company plans to allocate Rs. 4,475 crore toward expanding its quick commerce fulfilment network, along with investments in technology infrastructure and brand marketing to support growth.

Source: *Media sources, Company websites, Modern Marketer Reckoner Report by GroupM and MMA*

Growth Drivers

Growth drivers for e-commerce

1

GOVERNMENT INITIATIVES

- In November 2025, the Government of India proposed mandatory ‘country of origin’ filters on e-commerce platforms under amendments to the Legal Metrology Rules, aimed at enhancing visibility of domestic products and promoting self-reliance by encouraging consumers to choose locally manufactured goods.
- The Government of India is strengthening digital commerce infrastructure through initiatives such as the Open Network for Digital Commerce (ONDC), which has onboarded over 7.7 lakh sellers across 1,100 cities as of November 2025, improving market access for MSMEs and enabling wider participation in digital commerce. Government initiatives like Digital India is constantly introducing people to online modes of commerce.
- Favourable FDI policy is attracting key players.
- The Government has proposed “National E-commerce Policy” and has set up a lawful agenda on cross-border data flow where no data will be shared with a foreign Government agency without prior authorization from the Indian Government.

2

INCREASING AWARENESS

- In Q1 2026, India’s e-commerce market grew by 25%, supported by improved consumer sentiment and policy-led tailwinds, indicating rising awareness and sustained demand for online retail.
- The rapid growth of digital payments, with UPI processing 22.35 billion transactions worth Rs. 29.03 lakh crore in April 2026, has significantly enhanced consumer trust and ease of transactions, driving higher awareness and adoption of e-commerce platforms.
- As the awareness of using internet is increasing, more and more people are getting drawn to E-commerce.
- Whether it’s sellers, buyers, users or investors, more and more people are adapting to the use doing commerce online.

3

INVESTMENT

- India is the land of occasions and Increasing FDI inflow, domestic investment, and support from key industrial players is helping the growth of E-commerce.
- In February 2026, the Government of India approved the Startup India Fund of Funds 2.0 with a corpus of Rs. 10,000 crore (US$ 1.2 billion) to mobilize venture capital and support growth of startups, including those in digital commerce and related sectors.
- In January 2026, Indian startups collectively raised US$ 930 million across 122 deals, with e-commerce accounting for US$ 65 million of total funding, reflecting continued but selective investor interest in the sector.

Convenience of E-commerce

- As of 2024, Online retailers deliver to 29,000 pin codes out of nearly 100,000 pin codes in the country.
- India's warehousing sector, fuelled by consumer demand and e-commerce expansion, is poised to reach 516 million sq ft by 2026, with Mumbai, Pune, and Delhi leading the demand surge.
- As of 2025, Quick commerce already accounts for nearly 10% of India's e-Retail market, underscoring its strong foothold in the country's digital commerce ecosystem. This share is expected to 20% of e-retail market by 2030 which is US$ 34 - 40 billion.
- In February 2026, Flipkart is exploring entry into India's online food delivery market with a Bengaluru pilot expected around May-June, followed by a broader rollout. The company is evaluating a standalone platform or integration via Open Network for Digital Commerce (ONDC), targeting a US$ 9 billion market dominated by Zomato and Swiggy, with strong growth projected through FY30.
- India's last-mile delivery market is projected to grow from US$ 7.4 billion (Rs. 65,400 crore) in 2025 to US$ 24.5 billion (Rs. 2.17 lakh crore) by 2034, registering a CAGR of 13.54%.

Millennials are the most active

- Although shoppers between 25 and 34 years of age have been the most active on E-commerce portals, a surprising number of older people have increasingly started to shop online.
- In September 2025, Flipkart acquired a majority stake in Pinkvilla Media Pvt. Ltd. to strengthen its content-led commerce strategy, targeting Gen Z and millennial consumers.The acquisition enables Flipkart to leverage content-driven insights, enhance user engagement and integrate entertainment with shopping to drive conversions.

Tier II and tier III cities provide major sales

- India's annual online transacting user base expanded to 320-340 million in FY26, with Tier II and Tier III cities emerging as the primary contributors to new user acquisition.
- According to Fynd Festive Report 2025, Tier 2 and Tier 3 cities accounted for 65% of festive orders, with Tier 3 alone contributing 46%, surpassing metros in growth.
- Similarly, BW Marketing World reported that these cities drove nearly 58% of festive e-commerce transactions in the first week of sale events, highlighting strong growth in Bharat markets.
- Two-tier cities and smaller towns now account for 60% of all online orders in India, showcasing the growing reach of e-commerce beyond major urban centers. Interestingly, nearly 50 percent of registered SMEs are located outside Tier-1 cities

Source: *Media sources*

Factors driving e-commerce growth

1. Growth of logistics and warehouses

- Online retailers now deliver to 24,000 pin codes out of nearly 100,000 pin codes in the country.
- Flipkart Minutes expanded its quick-commerce network to 1,000 dark stores in 2026 and plans to increase it to 1,500 stores, while Amazon announced the expansion of its "Now" service to 300 cities, strengthening India's last-mile logistics infrastructure.

2. Internet content in local languages

- Online retailers see this segment as the new growth driver with significant influx of mobile subscribers, who are now comfortable with languages other than English.
- Indian language users on the internet is around 57% of the total internet users, as of January 2025.

3. Mobile commerce

- Online retailers' growing reach in town and cities beyond metros is driven by an increased usage of mobile internet. Increased ownership of smartphones is helping more Indians access shopping websites easily.
- Number of smartphone users in India is expected to reach 887.4 million by 2030.
- Mobile phone exports increased 127 times to around Rs. 2 lakh crore in FY2024-25, while smartphones became India's largest export category in CY2025 with exports of US$30.13 billion.

6. Payment's modernisation

- In terms of the real-time digital payment infrastructure, backed by UPI and 24x7 NEFT, India has been ahead of the curve.
- India buy now pay later market is projected to reach US$ 35.07 billion in India by 2030, and it is expected to grow at a CAGR of 9.8% every year.

5. Consumer spending

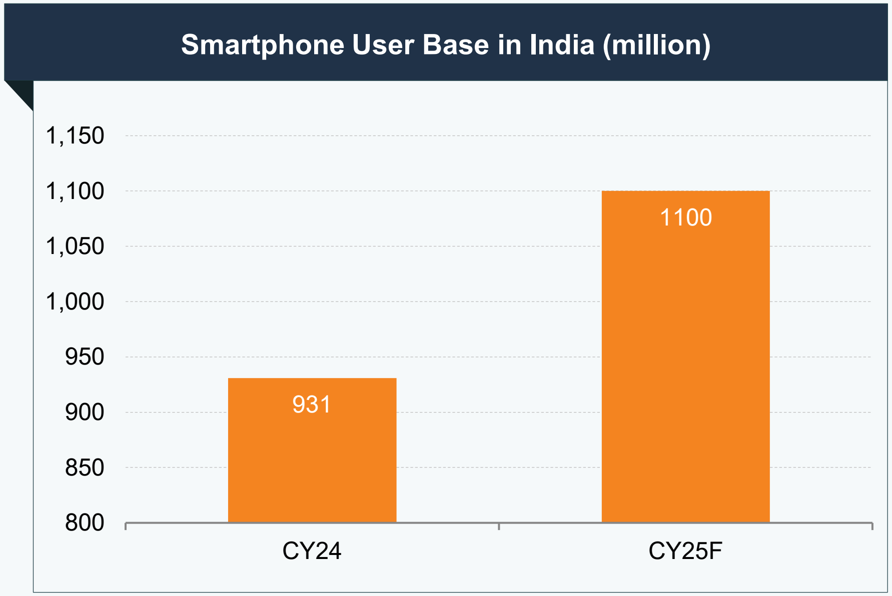
- In April 2026, India's Unified Payments Interface (UPI) processed 22.35 billion transactions worth Rs, 29.03 lakh crore (approximately US$ 328.4 billion). The platform had 713 participating banks, highlighting the continued expansion and widespread adoption of digital payments across the country
- E-commerce is rapidly growing in Tier-3 cities, where a larger share of consumers spend over Rs. 5,000 monthly (US$ 58) on online shopping compared to bigger cities.

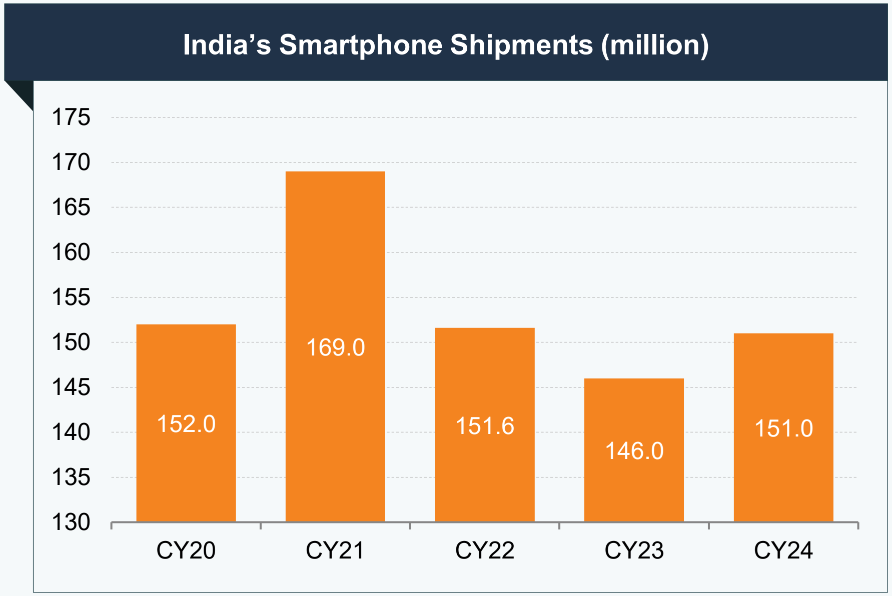
4. Employment generation

- In March 2026, Amazon expanded Amazon Air with new air cargo routes connecting **Kolkata** and **Guwahati**, improving delivery speeds by up to five times and supporting employment generation in Northeast India.
- On February 2026, Flipkart Foundation and Pratham InfoTech Foundation have launched Phase III of their Digital Employability Programme in Bengaluru and Mumbai to train 2,500 youth annually across 10 centres, with 50% women participation and a focus on digital and job-ready skills. Building on 6,000+ trained and 3,800+ placements, the initiative targets 60% employment outcomes and aligns with the Skill India Mission to drive inclusive employability.

***Notes:** CAGR - Compound Annual Growth Rate*
***Source:** Media sources, KPMG Report - E-commerce Retail Logistics India*

Increase in smartphones driving e-commerce growth





- India has emerged as the world's second-largest mobile manufacturing country, with mobile phone exports increasing 127 times from approximately Rs. 1,500 crore in FY2014-15 to around Rs. 2 lakh crore in FY2024-25. Smartphones also became India's largest export category in CY2025, with exports valued at US$30.13 billion.
- India's smartphone shipments declined 4.1% YoY to 31.0 million units in Q1 2026. However, market value increased 5.8% YoY as ASPs reached a record US$302, reflecting a shift towards value-driven growth amid rising memory costs and higher device prices.
- Export momentum has continued into FY2025-26, with shipments crossing Rs. 1 lakh crore in the first five months, marking a 55% increase over the corresponding period last year, supported by the Production Linked Incentive (PLI) scheme. Further capacity expansion is underway, with Foxconn planning to double iPhone output in India to 25-30 million units by end-2025, while Samsung's Noida facility has contributed to pushing total mobile phone exports to a record US$ 20.4 billion in 2024, up 44% year-on-year.
- Digital India has strengthened India's electronics manufacturing ecosystem through policy support, innovation, and investment. Electronics production has increased from Rs. 1.9 lakh crore in FY 2014-15 to about Rs. 12 lakh crore as of March 2026. Today, India is the world's second-largest mobile phone manufacturer, reflecting its growing role in global electronics value chains.
- Under the 4G Saturation Project and allied connectivity initiatives, India has significantly expanded telecom infrastructure in underserved regions. As of February 2026, over 24,263 mobile towers have been commissioned across uncovered remote and rural areas, improving last-mile connectivity and supporting digital inclusion.
- The Indian government is emphasising on increasing the local value-addition on the manufacturing front. As the government's schemes, such as Production Related Incentive (PLI) progress to impact the overall electronic manufacturing ecosystem, mobile phone production is expected to increase in the coming years. Brands such as Micromax and Lava are expected to take advantage of the 'Aatmanirbhar Bharat' initiative and schedule their comeback.

Note: *F - Forecasted*
Source: *IMF, World Bank, International Data Corporation (IDC), Counterpoint Research Report, Media Sources*

Government and private initiatives influencing e-commerce (1/3)

1

Bharat Net and Digital India

- BharatNet project is being implemented in a phased manner to provide broadband connectivity to all the Gram Panchayats (GPs) in the country. As of 19th March 2025, 2,18,347GPs have been made service ready under the BharatNet project in the country. As of March 25, 2025, the Optical Fiber Cable (OFC) length has increased to 42.13 lakh route km. As of 13.01.2025, 6,92,676 Km of OFC (Optical Fiber Cable) has been laid.
- The Union Budget 2026-27 allocated Rs. 20,000 crore (US$ 2.11 billion) for BharatNet, marking a 264% year-on-year increase over the previous budget allocation.
- Digital payment transactions grew by 35.04% in volume and 18.04% in value in FY2024-25. UPI accounted for 81% of the total digital payment volume during the year, reinforcing its status as the world's largest real-time retail payment system.

2

E-commerce draft policy

- The Government of India's Draft National e-Commerce Policy encourages FDI in the marketplace model of E-commerce. Further, it states that the FDI policy for E-commerce sector has been developed to ensure a level playing field for all participants.
- According to the draft, a registered entity is needed for the E-commerce sites and apps to operate in India.
- The telecom provider offered free high-speed internet access to users for first seven months.

3

Permanent account numbers (PAN) mandated

- In October 2020, amending the equalisation levy rules of 2016, the government mandated foreign companies operating e-commerce platforms in India to have permanent account numbers (PAN).

4

Udaan

- Udaan is a B2B online trade platform to connect small and medium size manufacturers and wholesalers with online retailers. It also provide them logistics, payments and technology support.
- The platform has emerged as India's largest B2B e-commerce marketplace, connecting over 3 million retailers with more than 25,000 sellers across 900+ cities and towns.
- In FY25, Udaan raised Rs. 975 crore (US$ 114 million), in funding at a valuation of Rs. 15,403 crore (US$ 1.8 billion), from investors including M&G Investments and Lightspeed.

Source: *Bain & Company - Unlocking Digital for India Report, Union Budget, Media Sources*

Government and private initiatives influencing e-commerce (2/3)

IBEF
INDIA BRAND EQUITY FOUNDATION

5

Open Network for Digital Commerce (ONDC)

- The Indian government has formed a new steering committee that will look after the development of a government-based e-commerce platform. The new committee, set up by the Commerce Ministry, will provide oversight on the policy for Open Network for Digital Commerce (ONDC), which is an e-commerce platform being developed with the government's backing. As of November 2025, ONDC is delivering in nearly 1,100 cities and towns across the country, with over 344.5 million recorded orders. The network has 490+ active Network Participants and more than 7.7 lakh sellers and service providers registered on the platform. The categories currently live on ONDC include food & beverages, grocery, agriculture, beauty & personal care, electronics & appliances, fashion, and others.

6

Ecommerce Ecosystem

- In a bid to systematise onboarding of retailers on e-commerce platforms, the Department for Promotion of Industry and Internal Trade (DPIIT) is reportedly planning to utilise the Open Network for Digital Commerce (ONDC) to set protocols for cataloguing, vendor discovery and price discovery. Their aim is to provide equal opportunities to all marketplace players to make optimum use of the ecommerce ecosystem in the larger interest of the country and its people.

7

National Retail Policy

- The government had identified five areas in its proposed national retail policy, ease of doing business, rationalisation of the licence process, digitisation of retail, focus on reforms and an open network for digital commerce, stating that offline retail and e-commerce need to be administered in an integral manner.

8

Consumer Protection Rules

- The Consumer Protection (E-Commerce) Rules, 2020, notified by the Consumer Affairs Ministry in July direct e-commerce companies to display the country of origin alongside product listings. In addition, they will also have to reveal the parameters that go behind determining product listings on their platforms.

Source: *Bain & Company - Unlocking Digital for India Report, Union Budget, Media Sources*

Government and private initiatives influencing e-commerce (3/3)

9

Government e-Marketplace Portal (GeM)

- The Government e-Marketplace (GeM) has emerged as a key digital public procurement platform in India, achieving a cumulative Gross Merchandise Value (GMV) of Rs. 18.4 lakh crore (US$ 208.2 billion), including over Rs. 5 lakh crore (US$ 56.6 billion) in FY 2025-26. The platform continues to strengthen transparency, efficiency and inclusivity in public procurement through technology-driven processes.
- During FY 2025-26, Micro and Small Enterprises (MSEs) executed 68% of total orders and accounted for 47.1% of the platform's GMV. More than 11 lakh registered MSEs secured over 51 lakh orders worth Rs. 2.36 lakh crore (US$ 26.7 billion), registering growth of over 20% compared to the previous financial year. Women-led MSEs, SC/ST enterprises and startups also expanded their participation, securing procurement orders worth over Rs. 28,000 crore (US$ 3.2 billion), Rs. 6,000 crore (US$ 0.7 billion) and Rs. 19,000 crore (US$ 2.1 billion), respectively, during FY 2025-26.
- The Government e-Marketplace (GeM) has witnessed rapid growth, with cumulative GMV increasing from over Rs. 15 lakh crore (US$ 177.4 billion) as of August 2025, to Rs. 16.41 (US$ 194 billion) lakh crore by November 2025, highlighting strong adoption and accelerating digital public procurement in India.
- The GeM crossed a GMV of Rs. 5 lakh crore (US$ 58.5 billion) in FY25, achieving the feat 18 days before year-end. Services led the growth, contributing 62% Rs. 2.54 lakh crore (US$ 29.7 billion), while. products made up 38% to Rs. 1.55 lakh crore (US$ 18.1 billion).
- The Government e-Marketplace (GeM) platform's Gross Merchandise Value (GMV) doubled in FY24 to cross the Rs. 4 lakh crore (US$ 47.96 billion) mark, driven by a 205% surge in the procurement of services, which accounted for nearly 50% of the total GMV.
- Government e-Marketplace (GeM) is an online platform for public procurement in India that was launched on August 9, 2016, by the Ministry of Commerce and Industry with the objective of creating an inclusive, efficient, and transparent platform for the buyers and sellers to carry out procurement activities in a fair and competitive manner.
- Through automation and digitization of processes, GeM has led to higher process efficiencies, better information sharing, improved transparency, reduced process cycle times, and a higher level of trust among bidders, which in turn have resulted in greater competition and higher savings.
- In FY23, the procurement of goods and services from the government portal crossed the Rs. 2 lakh crore (US$ 24 billion) mark.
- On February 14, 2024, the Ministry of Defence (MoD) announced that procurement through the Government e-Market (GeM) portal has exceeded Rs. 1 lakh crore (US$ 12.06 billion), with nearly half of the transactions occurring in the current fiscal year. GeM, launched in 2016, facilitates online purchases for central government ministries. MoD has executed over 5.47 lakh orders, with approximately Rs. 45,800 crore (US$ 5.52 billion) awarded this fiscal year. Notably, 50.7% of orders, totalling Rs. 60,593 crore (US$ 7.31 billion), have been awarded to Micro and Small Enterprises (MSEs). GeM has emerged as a pivotal platform for optimizing public spending in the Defence sector, with the Ministry showcasing a resolute commitment towards efficient procurement practices.

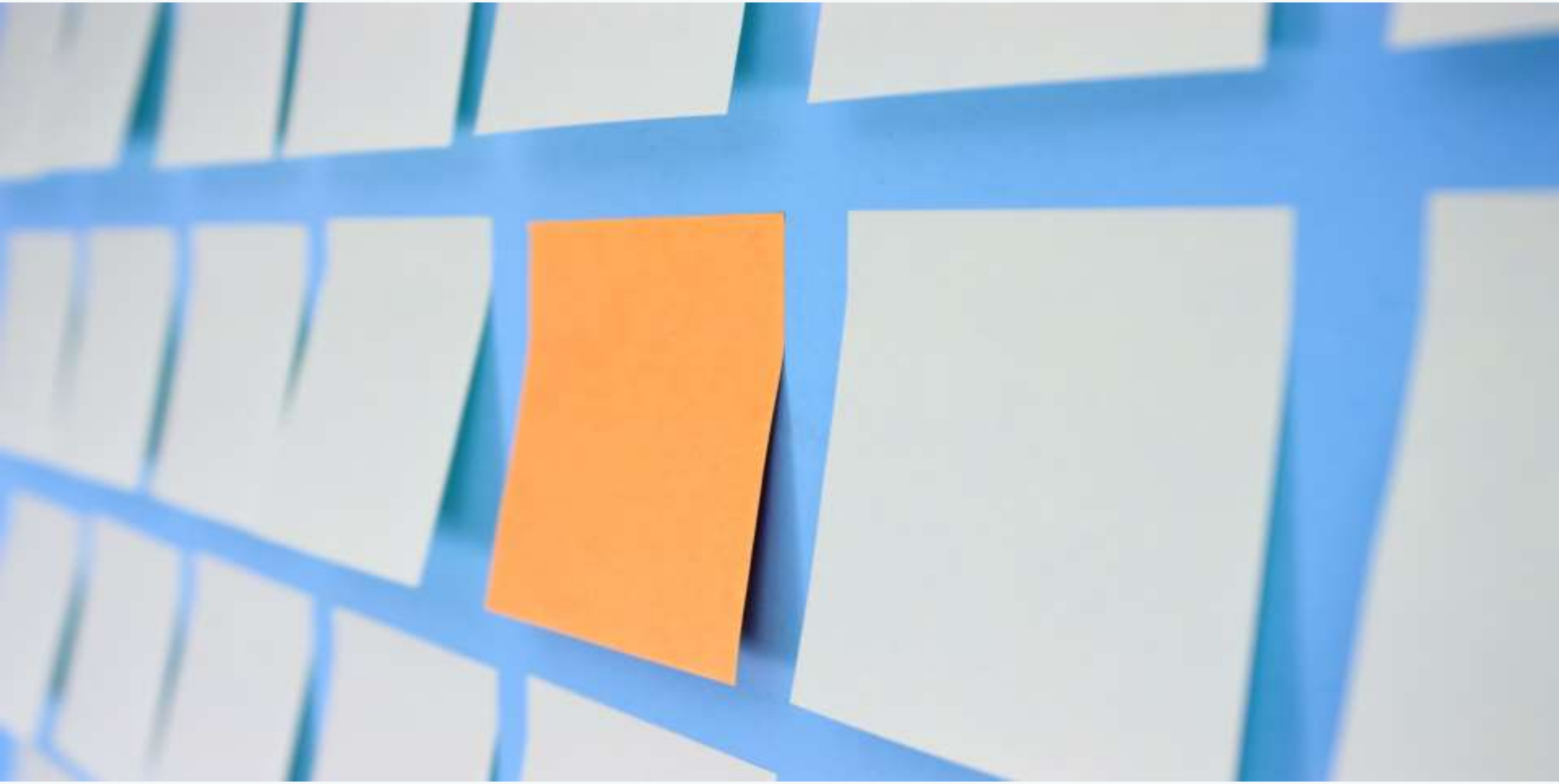
Source: *Bain & Company - Unlocking Digital for India Report, Media Sources*

Key Industry Contacts

Key industry Contacts

	Agency	Contact Information
	E-commerce Association of India	Address: 122, 1st Floor, Devika Tower Corporate Business District, Nehru Place New Delhi -110 019 Phone: +91 011 41582722 Fax : +91 011 41582722 Email: info@ecai.co.in Website: www.ecai.co.in
	Retailers Association of India (RAI)	111/112, Ascot Centre, Next to Hotel Le Royal Meridien, Sahar Road, Sahar, Andheri (E), Mumbai-400099. Tel: 91-22-28269527-28 Fax: 91-22-28269536 E-mail: info@rai.net.in Website: www.rai.net.in

Appendix



Glossary

- CAGR: Compound Annual Growth Rate
- GMV: Gross Merchandise Value
- FDI: Foreign Direct Investment
- FY: Indian Financial Year (April to March)
- GOI: Government of India
- Rs: Indian Rupee
- US$: US Dollar
- Numbers have been rounded off to the nearest whole number, wherever applicable.

Exchange rates

Exchange Rates (Fiscal Year)

Year	Rs. Equivalent of one US$
2004-05	44.95
2005-06	44.28
2006-07	45.29
2007-08	40.24
2008-09	45.91
2009-10	47.42
2010-11	45.58
2011-12	47.95
2012-13	54.45
2013-14	60.50
2014-15	61.15
2015-16	65.46
2016-17	67.09
2017-18	64.45
2018-19	69.89
2019-20	70.49
2020-21	73.20
2021-22	74.42
2022-23	78.60
2023-24	82.80
2024-25	86.47
2025-26	88.37
2026-27*	94.38

Exchange Rates (Calendar Year)

Year	Rs. Equivalent of one US$
2006	45.33
2007	41.29
2008	43.42
2009	48.35
2010	45.74
2011	46.67
2012	53.49
2013	58.63
2014	61.03
2015	64.15
2016	67.21
2017	65.12
2018	68.36
2019	69.89
2020	74.18
2021	73.93
2022	79.82
2023	82.61
2024	84.49
2025	87.16
2026*	92.66

Note: **- Until May 2026*

Source: *Foreign Exchange Dealers' Association of India*

Disclaimer

This presentation is for information purposes only. While due care has been taken during the compilation of this presentation to ensure that the information is accurate to the best of IBEF's knowledge and belief, the content is not to be construed in any manner whatsoever as a substitute for professional advice.

IBEF neither recommend nor endorse any specific products or services that may have been mentioned in this presentation and nor do they assume any liability, damages or responsibility for the outcome of decisions taken as a result of any reliance placed on this presentation.

IBEF shall not be liable for any special, direct, indirect or consequential damages that may arise due to any act or omission on the part of the user due to any reliance placed or guidance taken from any portion of this presentation.

INDIA BRAND EQUITY FOUNDATION
www.ibef.org